

C811

Healthcare Financial Resource Management

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A 150-bed hospital that just held a successful fundraising gala is preparing next year's budgets. The radiology director wants a new CT scanner costing \$1.2 million with a 7-year useful life, and she also needs to plan staff salaries and contrast supplies for the year. The hospital's capitalization threshold is \$5,000. Where does the CT scanner belong?

- A. The capital budget.
- B. The cash budget only.
- C. The operating budget, because salaries and supplies for the same department are planned there.
- D. The operating budget.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A medical-surgical unit, led by a manager who was named employee of the year, budgets supplies at \$10,000 fixed per month plus \$20 per patient day, planning for 1,000 patient days. Actual volume was 1,200 patient days and actual supply cost was \$35,000. The unit also moved to a new floor in March. What is the flexible budget variance for supplies?

- A. \$1,000 unfavorable.
- B. \$5,000 unfavorable.
- C. \$1,000 favorable.
- D. \$35,000 unfavorable.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

A clinic's flexible budget for supplies is \$8,000 fixed plus \$15 per visit. Actual visits were 900 and the supply variance was \$500 favorable. What was actual supply spending?

- A. \$21,500
- B. \$22,000
- C. \$21,000
- D. \$13,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A hospital's cardiology service line, which added two new physicians this year, wants to know its direct costs. Its expense list includes cardiology nurse salaries, cardiac catheter supplies, an allocated share of the housekeeping department, and an allocated share of the CEO's office. Which are direct costs of the cardiology service line?

- A. The nurse salaries and catheter supplies.
- B. Only the two new physicians' salaries.
- C. All four items.
- D. The housekeeping and CEO's office shares.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A surgery center run by a physician group with 25 partners is considering a \$600,000 robotic system. It expects \$150,000 in net cash inflows each year for 8 years. The vendor has offered free training for the first year. What is the payback period?

- A. 3 years, counting the free training year as payback
- B. 0.25 years
- C. 8 years
- D. 4 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A clinic wants a \$450,000 imaging unit to pay back in exactly 3 years. What even annual net cash inflow is required?

- A. \$1,350,000
- B. \$450,000
- C. \$150,000
- D. It cannot be found without a net present value calculation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A rural hospital known for its orthopedic program billed \$10 million in gross charges last quarter. Contractual allowances with Medicare, Medicaid, and commercial payers totaled \$5.5 million, and it expects \$400,000 in implicit price concessions from patients who will not pay. The hospital's parking garage opened the same quarter. What is net patient service revenue?

- A. \$10 million
- B. \$4.1 million
- C. \$15.9 million
- D. \$4.5 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A health system with a AA bond rating and 9,000 employees has \$90 million in unrestricted cash and investments. Annual operating expenses are \$400 million, including \$35 million of depreciation. Using 365 days, how many days cash on hand does it have?

- A. 365 days
- B. 90 days
- C. 4.4 days
- D. 82 days

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A hospital's policy requires 120 days cash on hand. Its daily cash operating expense (excluding depreciation) is \$250,000. What is the minimum unrestricted cash required?

- A. \$91.25 million
- B. \$250,000
- C. \$2,083
- D. \$30 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A for-profit hospital chain with a well-known brand wants to add an open-heart surgery program in a state that has a certificate-of-need law. The chain already holds Joint Commission accreditation and plans to fund the program from cash reserves. What must happen before it starts the program?

- A.** It must obtain CMS approval of its certificate of need.
- B.** Nothing, because the program is self-funded.
- C.** It must obtain state certificate-of-need approval showing community need.
- D.** Nothing, because Joint Commission accreditation covers new services.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A hospital's emergency department, which was renovated last year, needs one security officer on duty 24 hours a day, 7 days a week, all year. One FTE works 2,080 paid hours per year. The security manager holds a criminal justice degree. Ignoring vacation and sick time, about how many FTEs cover the post?

- A.** 3.0 FTEs, one per 8-hour shift
- B.** About 4.2 FTEs
- C.** 1.0 FTE, because only one officer is on duty at a time
- D.** About 0.24 FTE

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A department is budgeted for 6.0 FTEs at 2,080 paid hours per FTE. How many paid hours does that allow per year?

- A.** About 347 hours
- B.** 2,080 hours
- C.** 240 hours
- D.** 12,480 hours

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A 150-bed hospital ~~that just held a successful fundraising gala~~ is preparing next year's budgets. The radiology director wants a new CT scanner costing \$1.2 million with a 7-year useful life, ~~and she also needs to plan staff salaries and contrast supplies for the year.~~ The hospital's capitalization threshold is \$5,000. Where does the CT scanner belong?

Target word: which budget **Decides:** Multi-year asset well above the capitalization threshold.

A	Correct	Long-lived assets above the threshold are capital expenditures.
B	Adjacent category	The cash budget tracks timing of cash flows; the purchase decision itself is a capital budget item.
C	Camouflage	Other items in the department do not decide where a capital asset goes.
D	Confusion set	The operating budget holds yearly revenues and expenses such as salaries and supplies.

2. Answer A Concept 2

A medical-surgical unit, ~~led by a manager who was named employee of the year,~~ budgets supplies at \$10,000 fixed per month plus \$20 per patient day, planning for 1,000 patient days. Actual volume was 1,200 patient days and actual supply cost was \$35,000. ~~The unit also moved to a new floor in March.~~ What is the flexible budget variance for supplies?

Target word: flexible budget variance **Decides:** Flexed budget = \$10,000 + \$20 × 1,200 = \$34,000.

A	Correct	\$35,000 actual – \$34,000 flexed = \$1,000 over budget on a cost line.
B	Dropped element	Compares to the static budget (\$10,000 + \$20 × 1,000 = \$30,000) without flexing for volume.
C	Inverted operation	Spending above the flexed budget on a cost is unfavorable.
D	Wrong stem number	That is the actual cost, not the variance.

3. Answer C Concept 2 • transfer

A clinic's flexible budget for supplies is \$8,000 fixed plus \$15 per visit. Actual visits were 900 and the supply variance was \$500 favorable. What was actual supply spending?

Target word: solve for actual spending **Decides:** Flexed budget = \$8,000 + \$15 × 900 = \$21,500; favorable means actual is lower.

A	Confusion set	That is the flexible budget, not actual spending.
B	Inverted operation	Adds the favorable variance, which would make it unfavorable.
C	Correct	\$21,500 – \$500 = \$21,000.
D	Dropped element	Leaves out the \$8,000 fixed cost: \$13,500 – \$500.

4. Answer A Concept 3

A hospital's cardiology service line, ~~which added two new physicians this year,~~ wants to know its direct costs. Its expense list includes cardiology nurse salaries, cardiac catheter supplies, an allocated share of the housekeeping department, and an allocated share of the CEO's office. Which are direct costs of the cardiology service line?

Target word: sort direct from indirect **Decides:** Direct costs are traced to cardiology; allocated shares are indirect.

A	Correct	Both are incurred specifically for cardiology.
B	Camouflage	Reacts to the new-hire detail; the listed nursing and supply costs are also direct.
C	Adjacent category	Allocated overhead is part of full cost, not direct cost.
D	Inverted operation	Those are the indirect (allocated) costs.

5. Answer D Concept 4

A surgery center ~~run by a physician group with 25 partners~~ is considering a \$600,000 robotic system. It expects \$150,000 in net cash inflows each year for 8 years. ~~The vendor has offered free training for the first year.~~ What is the payback period?

Target word: payback period **Decides:** \$600,000 / \$150,000 per year.

A	Camouflage	Free training is not a cash inflow.
B	Inverted operation	Divides inflow by investment.
C	Wrong stem number	That is the asset's life, not payback.
D	Correct	$\$600,000 / \$150,000 = 4$ years.

6. Answer C Concept 4 • transfer

A clinic wants a \$450,000 imaging unit to pay back in exactly 3 years. What even annual net cash inflow is required?

Target word: solve for annual inflow **Decides:** Inflow = investment / payback years.

A	Inverted operation	Multiplies instead of divides.
B	Wrong stem number	That is the cost, which would pay back in one year.
C	Correct	$\$450,000 / 3 = \$150,000$ per year.
D	Adjacent category	Payback ignores discounting; NPV is a different method.

7. Answer B Concept 5

A rural hospital ~~known for its orthopedic program~~ billed \$10 million in gross charges last quarter. Contractual allowances with Medicare, Medicaid, and commercial payers totaled \$5.5 million, and it expects \$400,000 in implicit price concessions from patients who will not pay. ~~The hospital's parking garage opened the same quarter.~~ What is net patient service revenue?

Target word: net patient service revenue **Decides:** Subtract allowances and price concessions from gross charges.

A	Dropped element	Gross charges are not revenue the hospital expects to collect.
B	Correct	$\$10.0\text{M} - \$5.5\text{M} - \$0.4\text{M} = \$4.1\text{M}.$
C	Inverted operation	Adds the reductions instead of subtracting them.
D	Adjacent category	Subtracts allowances but leaves out the implicit price concessions.

8. Answer B Concept 6

A health system ~~with a AA bond rating and 9,000 employees~~ has \$90 million in unrestricted cash and investments. Annual operating expenses are \$400 million, including \$35 million of depreciation. Using 365 days, how many days cash on hand does it have?

Target word: days cash on hand **Decides:** Daily cash expense = $(\$400M - \$35M) / 365 = \$1M$.

A	Wrong stem number	That is the day count used in the formula.
B	Correct	$\$90M / \$1M \text{ per day} = 90 \text{ days}$.
C	Inverted operation	Divides expenses by cash.
D	Dropped element	Leaves depreciation in: $\$90M / (\$400M / 365) \approx 82$.

9. Answer D Concept 6 • transfer

A hospital's policy requires 120 days cash on hand. Its daily cash operating expense (excluding depreciation) is \$250,000. What is the minimum unrestricted cash required?

Target word: solve for cash **Decides:** Cash = days × daily cash expense.

A	Confusion set	That is a full year of cash expenses (365 days), not 120.
B	Wrong stem number	That is one day of expenses.
C	Inverted operation	Divides the daily expense by the days.
D	Correct	$120 \times \$250,000 = \$30,000,000$.

10. Answer C Concept 7

A for-profit hospital chain ~~with a well known brand~~ wants to add an open-heart surgery program in a state that has a certificate-of-need law. ~~The chain already holds Joint Commission accreditation and plans to fund the program from cash reserves.~~ What must happen before it starts the program?

Target word: regulatory approval for a new service **Decides:** The state has a CON law covering new services.

A	Confusion set	CON is a state program, not a federal one.
B	Camouflage	Funding source does not exempt a project from CON review.
C	Correct	CON laws require state approval before covered new services or major capital projects.
D	Adjacent category	Accreditation addresses quality standards, not state CON approval.

11. Answer B Concept 8

A hospital's emergency department, ~~which was renovated last year,~~ needs one security officer on duty 24 hours a day, 7 days a week, all year. One FTE works 2,080 paid hours per year. ~~The security manager holds a criminal justice degree.~~ Ignoring vacation and sick time, about how many FTEs cover the post?

Target word: FTEs for 24/7 coverage **Decides:** $24 \times 365 = 8,760 \text{ hours} / 2,080$.

A	Dropped element	Covers one day's shifts but drops the 7-day, 52-week coverage.
B	Correct	$8,760 / 2,080 \approx 4.21 \text{ FTEs}$.
C	Confusion set	Counts positions on duty, not paid hours needed.
D	Inverted operation	Divides 2,080 by 8,760.

12. Answer D Concept 8 · transfer

A department is budgeted for 6.0 FTEs at 2,080 paid hours per FTE. How many paid hours does that allow per year?

Target word: solve for hours **Decides:** Hours = FTEs × 2,080.

A	Inverted operation	Divides 2,080 by 6.
B	Wrong stem number	That is one FTE's hours.
C	Confusion set	That is hours per week (6 × 40), not per year.
D	Correct	$6.0 \times 2,080 = 12,480$.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	5	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	0	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Operating vs. capital budget	Long-lived assets above the capitalization threshold go in the capital budget; the year's revenues and expenses go in the operating budget.	Putting major equipment in the operating budget because it is planned alongside salaries and supplies.	A useful life of several years and a cost above the threshold.
2	Flexible budget variance	Flex the budget to actual volume (fixed + variable rate × actual volume) before comparing to actual spending.	Comparing actual cost to the original static budget.	Actual volume differs from budgeted volume.
3	Direct vs. indirect costs	Direct costs are traced to a department or service line; indirect (overhead) costs are shared and allocated.	Counting allocated overhead as direct cost.	A list mixing department-specific costs with shared services.
4	Payback period	Payback = initial investment / annual net cash inflow (when inflows are even).	Dividing inflow by investment, or using the asset's life.	An up-front cost and an even yearly cash inflow.
5	Net patient service revenue	Net patient revenue = gross charges – contractual allowances – implicit price concessions.	Treating gross charges as revenue.	Gross charges, allowances, and expected uncollectible amounts in one stem.
6	Days cash on hand	Days cash on hand = unrestricted cash / ((operating expenses – depreciation) / 365).	Leaving depreciation in the daily expense, or inverting the ratio.	Cash, operating expenses, and a depreciation figure.
7	Certificate of need	In CON states, providers need state approval, based on community need, before major capital projects or new services.	Thinking accreditation, self-funding, or CMS approval replaces CON.	A new service or big capital project “in a certificate-of-need state.”
8	FTE calculation	One FTE = 2,080 paid hours a year; FTEs needed = hours of coverage required / 2,080.	Counting positions instead of hours of coverage.	“24 hours a day, 7 days a week” coverage.

Course scope (public description): Healthcare Financial Resource Management examines financial practices within healthcare industries to promote effective management at department and organization levels. Focusing on financial processes associated with facility operations in the healthcare field, this course will analyze the impact of strategic financial planning and regulatory control processes. This course has no prerequisites.